Tribhuvan University

Faculty of Humanities & Social Sciences

OFFICE OF THE DEAN

Economics

BCA — Semester 2 — — Answer Sheet

Subject Code:

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Group B

1. Define price elasticity of demand. Discuss the various types of price elasticity of demand with diagrams.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. What is indifference curve? What are its properties? Explain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. What is perfect competition market? How price and output are determined under it?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Write short notes on scarcity and choice.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Consider the following table:CombinationABCDEFGPrice (Rs.)7654321Quantity (Units)500750125020003250475080000a. Find the price elasticity of demand for movement from points A to C and C to A by proportional method.b. Compute the price elasticity of demand at the mid way between A to C and C to A by arc method.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Consider the following cost schedule:Output0123456789Total Cost (TC)300330354372396450540672840108 0a. Compute TFC, AFC, AVC, MC and AC.b. Graph AC and MC and explain the relationship between AC and MC.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. Let us suppose a consumer has fixed income of Rs.2000. He selects two goods X and Y for consumption having prices with Rs.400 and Rs.200 respectively.a. Derive budget line.b. Show his equilibrium point when he allocates entire budget equally on two goods.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. Discuss the government intervention in market through price floor, price ceiling and tax effect.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. What are the instruments of monetary policy?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. Explain the condition for optimum employment of two variable inputs.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

11. Explain the features of free market economy.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. Calculate Gross Domestic Product (GDP) and National income from the following data:S.N.ItemsRs.(in Millions)1Personal Consumption Expenditure65002Indirect tax less subsidies1503Government consumption and investment expenditure25004Change in business inventories1005Gross Private domestic fixed investment9506Exports9007Net factor payments to the rest of the world-1008Imports12009Depreciation20010Foreign Investment250

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.